European Commission public consultation on Commission Decision (Eu) 2020/2152 on REMIT Fees

Elettricità Futura & Proxigas

26th November 2024

1. ***What is your experience with the Fee Decision and its implementation? Do you see a need to correct certain aspects? If yes, what should be changed? Please provide explanations.***

   We welcome the EC consultation on the revision of its decision related to fees for ACER REMIT tasks. It is indeed important for market participants to give ACER the adequate resources to process, handle and analyse the information they collect to enforce REMIT and carry out its new tasks (authorization, supervision and investigation).

   Elettricità Futura (EF) and Proxigas acknowledge the significant increase of data reported and the evolution of the scope of the data reporting obligation provided by REMIT II.

   The costs for implementing REMIT have risen considerably between 2021 and 2024, but Market Participants (MPs) have no information about their breakdown (wages, consultancy services, IT and ICT costs, events, etc), their past and future expected evolution.

   Moreover, ACER did not provide any forecast per REMIT activities or per cost categories.

   EF and Proxigas would therefore invite ACER to publish a mid-term forward-looking budget related to REMIT with breakdown per category and activities, including information about the Commission's financial contribution to ACER activities.

   Our assessment of the current implementation of the Fee Decision is generally favourable; however, we argue that a stricter non-discriminatory approach to REMIT fees is essential and should be strengthened in the next Fee Decision, considering smaller entities that report a limited number of transactions (e.g. small MPs storage operators or small producers) and non-commercial Registered Reporting Mechanisms (RRMs),In accordance with this viewpoint, only the proposed "enrolment fee" should be standardized for all group entities liable for fee payments, maintaining parity for both RRMs and Inside Information Platforms (IIPs).

   Conversely, considering that the supervisory effort is directly correlated with the volume of records received by ACER, we advocate that the "supervisory fee" should be proportional to the number of records submitted, rather than being uniform for all RRMs.

Additionally, we suggest to disincentivise "multiple reporting activities" which could inadvertently increase the fees imposed on individual MPs. Currently, when a market-participants reports on behalf of others, the reporting on behalf of another MP is considered as an additional data cluster, which leads to additional variable cluster fees.

Notwithstanding MPs provide non-commercial reporting service to their customers through a single RRM, when MPs have delegated reporting on its behalf to other MPs, the commercial RRM would charge each MP a separate cluster for reporting "on behalf of", which would result in over-invoicing.

The reporting party incurs costs which are therefore higher than if the transactions reported would be considered as part of a single reporting cluster, since costs per transaction decrease with the number of transactions reported.

This effect is amplified when reporting on behalf of another MP occurs in different groups of transactions (EMIR transactions, Direct electronic access transactions etc.), which leads to the multiplication of separate data clusters.

Therefore, we suggest integrating the transactions reported on behalf of another MP into the reporting MPs existing clusters, while increasing the fees for existing clusters by the necessary amount to reach the expected total amounts of REMIT fees per year.

This measure would ensure that RRM/ACER's costs are covered while reducing the potential for over-invoicing. It would also reduce the administrative burden significantly due to the limited number of MPs subject to REMIT fees.

For this purpose, we support additional ACER guidance to commercial RRMs. This is essential since reporting on behalf of other MPs enables to increase transparency levels in the energy market, and it also enables smaller MPs with limited resources to comply with their REMIT obligations.

2. ***Do you agree with the above proposals as regards the fees to be paid by IIPs? Please provide explanations.***

We endorse the implementation of a uniform enrollment fee for IIPs, as it fosters fairness, transparency, and predictability for all entities. A uniform fee structure ensures that market participants, especially smaller entities, are not overwhelmed by excessive costs, and it preserves a level playing field by treating all entities equally. We concur with the proposal of instituting solely annual fees, excluding any component based on transaction records. As "enrolment fee", the one for IIPs should be standardized and aligned with that for RRMs and should not exceed 15,000 EUR per year.

With reference to variable fees, we support the proposal of the EC not to apply a variable fee component like records-based fee component for transaction reporting to urgent market messages (UMMs). This is in line with the informative nature of UMMs.

Furthermore, such a fee could compromise transparency and the well-functioning of the market, creating uncertainty and cost unpredictability, making it challenging for IIPs to foresee and manage their regulatory obligations.

3. ***Which level of flat enrolment fee do you consider as appropriate? Please provide explanations.***

   Our proposal is that the " enrolment fee" for IIPs should be the same as for RRMs and should not exceed 15K€ per year.

4. ***If the current factor of two, according to which the levels of the fee subcomponents increase for each additional data cluster, were to be increased, which level of do you consider as appropriate (e.g., 2.1, 2.2, other)? If you disagree with the factor increase, please provide relevant explanations. Please also provide your views on all amendments / options considered in this section.***

   We support the EC proposal to create additional data clusters in order to reflect the increasing number of transactions.

   We favour maintaining the current factor of two (also for the new additional data clusters), according to which the levels of the fee subcomponents increase for each additional data cluster, as this ensures a proportionate distribution of costs among market participants reporting transactions via RRMs.

5. ***What do you think about such an additional fee component? Do you see other options to ensure that fee revenues are sufficient to cover eligible costs given ACER's additional tasks? Please provide explanations.***

   In our view, the "supervision fee" is consistent with ACER's new supervisory powers over RRMs and IIPs.

   In line with the principle presented in response to Question 1, we reiterate that the "supervisory fee" should be proportional to the average number of reports submitted, rather than being uniform for all, given that ACER's supervisory effort is directly dependent on the volume of reports received.

   Regarding the activities of RRMs/IIPs, we believe that the supervisory burden and associated costs are more substantial for those RRMs/IIPs operating on a commercial basis, managing records for hundreds or even thousands of Market Participants (MPs). Consequently, a higher surveillance burden and related costs are expected to be incurred by ACER for these RRMs/IIPs.

6. ***What are your views on how the Fee Decision could provide for cost increases due to inflation? Please provide explanations.***

   About cost increases due to inflation, we recommend the adoption of simple correction mechanisms rather than complex ones based on historical figures. To reduce system burden (also at RRMs billing systems level), we suggest avoiding continuous review and to plan only 5 years reviews. To be consistent with Agency needs, the total amount of the fee should be defined from now at a value equal to the current annual requirement plus the estimated rate of inflation for the next five years from now.

   The already existing "reduction amount" mechanism should be employed during the five years to adjust ACER's needs of the specific year to the collected fees.

7. ***Do* you have any other comments or recommendations?**